ESG **67/100** STRONG

START-UP NOTE · ENTERPRISE SOFTWARE · 3 NOVEMBER 2026

Pigment

Private company · Paris, France · Founded 2019 · AI-based business planning platform

A European software leader that doubled its value in two and a half years. At 23 times its revenue run-rate, the price is far above where listed software trades.

VALUATION VIEW

Stretched

Our fair value	$1.5bn
Last round (Oct 2026)	$2.3bn post-money
Gap	−35%
Post-money / current ARR	23x

01 Thesis and valuation view

We rate Pigment's latest valuation as STRETCHED: our probability-weighted fair value is $1.5bn, 35% below the $2.3bn post-money of the October 2026 Series E. Pigment is a strong company. It has passed $100m of annual recurring revenue, its customers include L'Oréal, Siemens and Unilever, and it is the leading European name in business planning software. But the round values it at 23 times that revenue, while listed software groups trade at 2 to 7 times. To earn a 22.5% return, revenue must reach about $1.1bn by 2031, eleven times today's level.

Three points

- **Growth is high but slower than the headline.** The company says ARR doubled for the second year running. Third-party data show $50m in May 2025 and $100m in October 2026, which is 17 months, or about 60% a year. The CEO expects ARR to double again to near $200m next year.
- **The market for software has been repriced.** Workday trades at 4.7 times revenue, ServiceNow at 7.4 and HubSpot at 3.0. Pigment's multiple is more than three times the group's upper quartile. Only Datadog, at 18.6 times, is close.
- **AI cuts both ways.** Pigment says 85% of new metrics on its platform are now created by AI agents. That shows the product is current. It also raises the question of whether planning software sold per user keeps its pricing when agents do the work.

> WHAT WOULD MAKE US WRONG
>
> The main risk to our view is that growth stays above 70% for longer than we assume. If growth stays this high and the market keeps paying 10x revenue at exit, with a 17.5% required return, our base case would be worth $2.7bn, above the round price (see the sensitivity table in section 06). A second risk is scarcity value: Pigment is the flagship of the new Scaleup Europe Fund, and public investors in Europe have few such assets to buy. A strategic buyer such as SAP, Workday or Oracle could pay a premium to own a modern planning engine.

INDICATOR	VALUE	COMMENT
Post-money valuation	$2.3bn	Series E, 21 October 2026
Post-money / current ARR	23x	on ARR above $100m
Post-money / 2026E revenue	27x	on our $85m estimate
Valuation growth since Series D	2.3x	from about $1bn (April 2024)
Listed software, upper quartile	7.1x	EV / sales of six listed peers

Pigment does not publish its accounts. ARR figures are company statements. Revenue 2026E and everything after it is a Puccetti Capital Research estimate and should be read as an order of magnitude.

02 The surprise: a $2.3bn price in a cheaper software market

On 21 October 2026 Pigment announced a $250m Series E at a $2.3bn post-money valuation. Bloomberg had reported the round a day earlier. The Scaleup

Europe Fund, managed by EQT, led it. This fund is backed by the European Commission and private investors, and a fund that began investing this year. World Innovation Lab joined, and existing investors Greenoaks, ICONIQ, IVP and Meritech also took part. Nvidia plans to invest, but its stake is not final and its size is not disclosed.

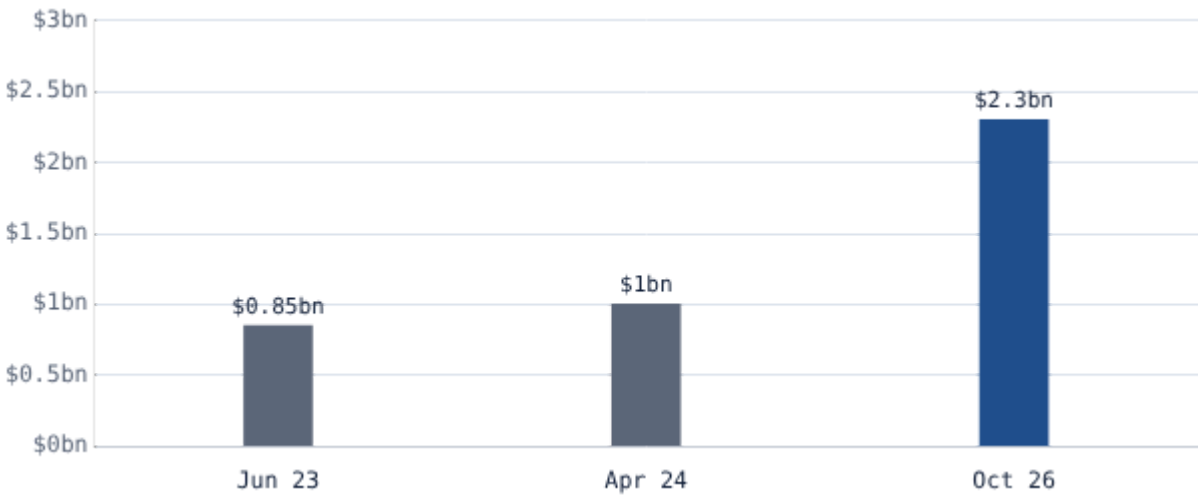
The last round was a $145m Series D in April 2024, reported by Fortune at a valuation above $1bn. The new price is more than double that. What stands out is the timing. Listed application software now trades at low multiples: Workday is at 4.7 times revenue and HubSpot at 3.0. A private round at 23 times revenue stands far apart from that market. It tells us that large investors still pay a high price for the few software companies growing near 100%.

With the round, the company said its customers now include Anthropic, ElevenLabs, Snowflake and Uber, and that L'Oréal is moving salary planning for more than 95,000 staff onto the platform. Most of the money will go to research and to the Graphite engine and AI agents.

03 Funding and valuation history

DATE	ROUND	RAISED	VALUATION
2020	Series A	$26m	≈$0.11bn
Nov 2021	Series B (Greenoaks)	$73m	n/d
Sep 2022	Series B+ (IVP, Meritech)	$65m	n/d
Jun 2023	Series C (ICONIQ)	$88m	$0.85bn
Apr 2024	Series D (ICONIQ)	$145m	>$1bn
Oct 2026	**Series E (Scaleup Europe Fund)**	**$250m**	**$2.3bn**

Exhibit 1 **Post-money valuation by round ($bn)**



The company has raised well over half a billion dollars in total. A database estimate puts the figure at $647m, but older sources list lower totals. The Series C valuation of $850m comes from Sifted, which cites sources, not from the company. The Series D valuation was not announced; "above $1bn" is a press report. We use $1.0bn as the base.

n/d: not disclosed. The Series A valuation is a PitchBook figure quoted by TechCrunch. Sources disagree on the exact total raised.

04 Business model and revenue

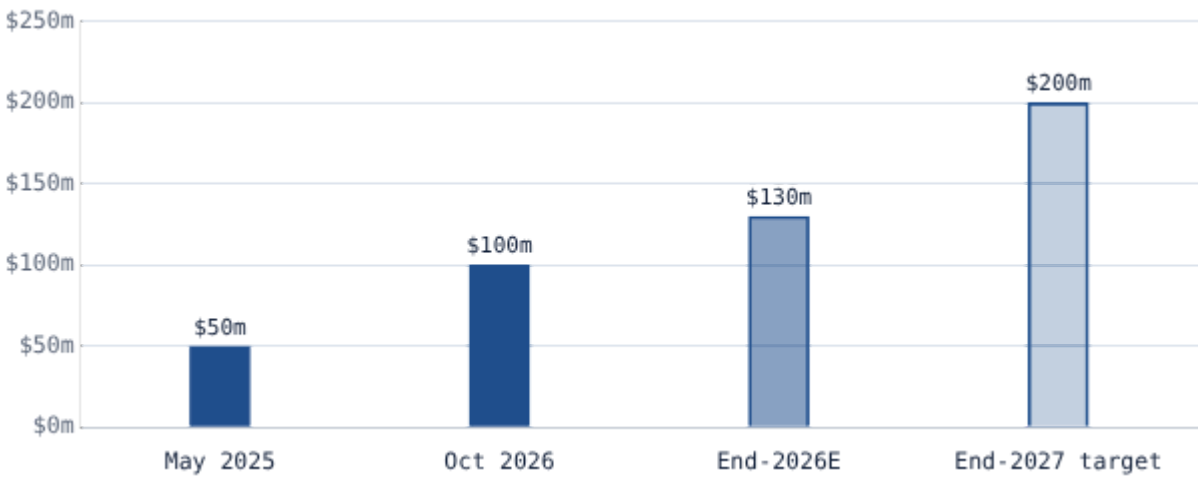
Pigment was founded in Paris in 2019 by Eléonore Crespo, a former Google data analyst, and Romain Niccoli, a co-founder and former technical chief of the advertising group Criteo. Both are co-CEOs. Susan Phan joined as chief financial officer in September 2026, a step that usually comes before a public listing. Crespo has said an IPO is far off.

The product replaces spreadsheets and older planning tools in finance, sales, HR and supply chain. Users build budgets and forecasts on a shared model. Its engine, called Graphite, recalculates large models quickly, and AI agents now build and update parts of the model. The company sells subscriptions to large groups, and a few customers pay for tens of thousands of users, as L'Oréal does. Rivals are Anaplan, Oracle and SAP planning tools, Workday Adaptive Planning, and newer AI-native start-ups.

The company has about 500 employees according to a database estimate; it does not publish the number. We could not find any information on profit or cash burn,

and we assume Pigment is still loss-making given the pace of hiring and research.

Exhibit 2 **Annual recurring revenue ($m)**



May 2025: ARR Club. Oct 2026: company. End-2026E: Puccetti Capital Research estimate. End-2027: CEO target, shaded.

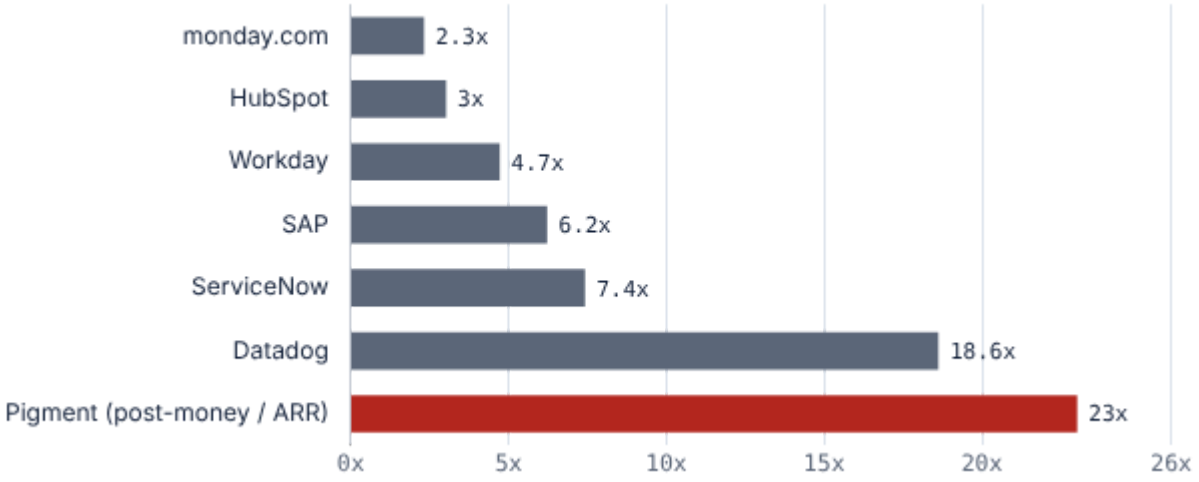
The company states that ARR doubled in each of the last two years. The data points above do not fully agree with that claim, since the move from $50m to $100m took 17 months. ARR Club lists growth at 69% on the same page as the word "doubling". We treat 60-70% as the best estimate of the current pace and note the difference.

05 Listed comparables

No planning software company of Pigment's size is listed. We use six listed software groups: direct neighbours in finance and HR software (Workday, SAP, ServiceNow), work platforms (HubSpot, monday.com) and the fastest-growing large software company in the group (Datadog).

COMPANY	EV / SALES (LTM)	REVENUE LTM	3-YR GROWTH FORECAST
Datadog	18.6x	$4.0bn	25.5%
ServiceNow	7.4x	$15.4bn	19.7%
SAP	6.2x	€39.4bn	11.4%
Workday	4.7x	$10.2bn	10.9%
HubSpot	3.0x	$3.5bn	15.0%
monday.com	2.3x	$1.4bn	16.3%
Median	**5.5x**		
Upper quartile	**7.1x**		
Pigment at $2.3bn	**23x ARR**	**>$0.1bn ARR**	**≈60-100%**

Exhibit 3 **EV / Sales of listed peers against Pigment's post-money (x)**



Pigment grows three to ten times faster than these groups, so it deserves a premium. We use the upper quartile, 7.1x, and apply it to the ARR we expect Pigment to have at the end of 2027, $200m, the CEO's target. That gives $1.4bn in a year, or $1.2bn today after discounting at 22.5%. The median of 5.5x on today's ARR gives $0.55bn, our low case. Datadog's 18.6x on our end-2026 ARR estimate of $130m gives $2.4bn, our high case. Even that high case only just reaches the round price. We give this method 40% of our fair value.

StockAnalysis, 3 November 2026. Enterprise value divided by revenue of the last twelve months.

06 Main model: venture capital method

The VC method estimates what the company could be worth at exit in five years, then discounts that value at the return a late-stage investor requires. We use

22.5%, in the middle of the 20-30% range for loss-making companies. Pigment has more revenue and a longer record than a company founded in 2023, but it faces the threat of AI agents to seat-based pricing. We assume a further 15% dilution from future rounds and employee options.

SCENARIO	REVENUE 2031	EXIT EV/SALES	EXIT VALUE	VALUE TODAY	PROBABILITY
Bear: agents erode seat pricing, growth fades to 20%	$300m	3.5x	$1.05bn	$0.32bn	25%
Base: category leader, growth slows from 90% to about 30%	**$700m**	**7x**	**$4.9bn**	**$1.51bn**	**50%**
Bull: the planning layer for enterprise AI	$1,100m	10x	$11.0bn	$3.39bn	25%
Probability-weighted value				**$1.68bn**	**100%**

Our base case already assumes revenue grows from about $85m in 2026 to $700m in 2031, a compound rate of 52% a year. For scale, $700m would put Pigment at the size monday.com has today. An exit multiple of 7x is the upper quartile of the listed peers today, which fits a software company still growing 30% a year. The bull case assumes Pigment passes $1bn of revenue and is valued like Datadog is today, at the top of the peer range.

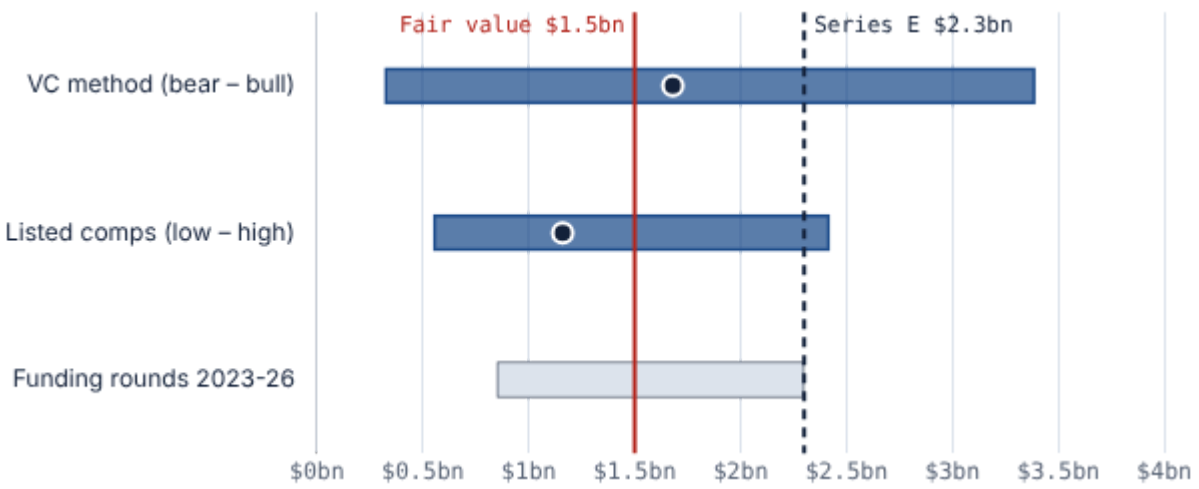
Exhibit 4 **Sensitivity of the base case ($bn) to required return and exit multiple**

RETURN \ EXIT EV/SALES	5X	6X	7X	8X	10X
17.5%	1.33	1.59	1.86	2.13	2.66
20.0%	1.20	1.44	1.67	1.91	2.39
22.5%	1.08	1.29	**1.51**	1.73	2.16
25.0%	0.98	1.17	1.37	1.56	1.95
27.5%	0.88	1.06	1.24	1.41	1.77

No cell reaches the $2.3bn round price. At $2.3bn, the base case implies an annual return of about 13%. At our 22.5% required return and 7x, revenue would need to reach about $1.1bn in 2031 to justify the round.

07 Fair value and verdict

Exhibit 5 **Value range by method ($bn)**



Bars: low to high. Dot: central value. Dashed line: Series E $2.3bn. Solid line: our fair value $1.5bn.

METHOD	CENTRAL	WEIGHT	LOW	HIGH
VC method (probability-weighted)	$1.68bn	60%	$0.32bn	$3.39bn
Listed comparables (EV/Sales)	$1.16bn	40%	$0.55bn	$2.42bn
Fair value	**$1.5bn**	**100%**		

The weighted result is $1.47bn, which we round to $1.5bn. The two methods are 45% apart, and the comparables method is the lower one, so our result rests on the VC method. The gap to the round, 35%, is more than twice our 15% threshold for a Stretched verdict. Only the bull case of the VC method and the high case of the comparables method reach the round price.

VERDICT · STRETCHED · FAIR VALUE $1.5BN

The Series E price is 35% above our fair value. Investors in the round are paying for growth that is real but already slowing, at a multiple the listed software market no longer pays. Meeting the CEO's target of $200m of ARR by the end of 2027 would not change our view, because our base case already assumes it. We would see the valuation as supported only if growth stayed above 70% beyond 2027 and the company showed that AI agents lift its revenue per customer instead of cutting it.

08 Risks and catalysts

Risks

- **Pricing model:** AI agents may cut the number of paid seats.
- **Incumbents:** SAP, Oracle and Workday bundle planning with their other products.
- **Growth gap:** the "doubling" claim is not borne out by the ARR data.
- **Cost base:** about 500 staff and heavy research spending; profit is not disclosed.
- **ESG:** our ESG score is 67/100 (Strong), held back by the lack of any published sustainability report or emissions figures.

Catalysts

- **Year-end ARR update,** against our $130m estimate and the $200m target for 2027.
- **Nvidia stake,** once finalised.
- **Large wins,** such as the L'Oréal salary-planning rollout.
- **IPO preparation:** a new CFO and public-market investors on the way in.

Method and sources. Private-company valuation. Funding data from company announcements and press; ARR from company statements and third-party databases (ARR Club, StockAnalysis); revenue 2026E and all scenarios are Puccetti Capital Research estimates. Listed comparables from StockAnalysis.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Pigment. Not investment advice.

1. The Next Web (Series E) · Value Add VC (round, customers) · ARR Club (ARR history) · Sifted (Series E)
2. StockAnalysis (funding table, headcount, CFO) · PR Newswire (Series D) · Pigment (Series C) · SiliconANGLE (Series B+)
3. Comparables: Datadog · ServiceNow · SAP · Workday · HubSpot · monday.com
4. ESG: Pigment (security and certifications) · Pigment (carbon product page)